

competent management comes up with actions that make the bet all the more favorable.

By March 2001, Stewart had paid down \$50 + million of debt and cash flow remained strong. A few weeks thereafter, Stewart's stock price went over \$4 per share and I exited. Subsequently, when Stewart got the sales consummated, the stock rallied to \$8 per share and traded for quite a while between \$6 to \$8 per share.

Wall Street could not distinguish between risk and uncertainty, and it got confused between the two. Savvy investors like Buffett and Graham have been taking advantage of Mr. Market's handicap for decades with spectacular results. Take advantage of Wall Street's handicap by seeking out low-risk, high-uncertainty bets.

LEVEL 3 CONVERTIBLE BONDS

Another example of spectacular returns harvested due to low risk and high uncertainty is the situation with Level 3 Communications convertible bonds in 2001 and 2002. Level 3 is a global provider of bandwidth and related services primarily to the networking/telecommunications industry. Level 3 was formed to develop and operate a global Internet protocol (IP) network offering the lowest cost per bit transported of any network in the world.²

For me, any sort of tech investment is a very fast fivesecond pass as they tend to be unpredictable, rapidly changing businesses. I had looked at the entire telecom sector as a very quick pass. Rapidly changing industries are the enemy of the investor. That's why all the Dhandho entrepreneurs fixate on industries with minimal long-term change. The five years I had spent in the telecom industry at Tellabs (TLAB) reinforced my view that this was an industry undergoing rapid change, and it is best to simply pass on the entire sector.

I read an article in mid-2001 in *Barron's*³ that compelled me to set aside my reservations and dig deeper into Level 3. The article mentioned that Berkshire Hathaway was rumored to have bought about \$350 million of